

UNIT
75

INCOME STATEMENT

CONVERSATION

INCOME STATEMENT (YOY
COMPARISON)

(In millions — Unaudited)

Mia: So, looking at income statement, by 2024 our total revenue had already grown compared to 2023, and that's the first thing that stands out.

Evan: Right. And since expenses *had risen too*, but not as fast as revenue, the operating income ended up improving year over year.

Mia: Exactly. That's why the operating income in 2024 is higher — the company was earning more than it was spending.

Evan: And because operating income had strengthened, the net income followed the same trend. Since the income had increased, at the end of 2024 we could expand the business more.

Mia: Yeah, the pattern makes sense: revenue drives the top line, expenses shape the middle line, and those two together determine what the bottom line looks like.

	2022	2023	2024
Revenue			
Product revenue	12.8	14.6	17.1
Service revenue	45.2	50.9	59.3
Total revenue	58.0	65.5	76.4
Expenses			
Cost of revenue	18.4	20.9	24.0
Depreciation	1.8	2.1	2.4
Amortization	1.0	1.2	1.3
Sales & marketing	5.8	6.5	7.2
General & administrative	1.6	1.8	2.0
Total expenses	28.6	32.5	37.0
Operating income	29.4	33.0	39.4
Income taxes	(4.8)	(5.4)	(6.7)
Net income	24.6	27.6	32.7

VOCABULARY

Income Statement				
Figures in Millions	2020	2021	2022	
Total revenue	\$ 5,254	\$ 5,525	\$ 6,278	
Cost of goods sold (COGS)	2,850	2,869	2,998	
Gross profit	2,404	2,656	3,280	
Selling, general, administrative (SG&A)	1,065	1,125	1,348	
Research & development (R&D)	120	125	129	
Operating income	1,219	1,406	1,803	
Interest expense	102	106	108	
Pretax income	1,117	1,300	1,695	
Taxes	260	299	383	
Net income	857	1,001	1,312	



$$\text{REVENUE} - \text{EXPENSES} = \text{OPERATING INCOME}$$

Income
statement

Revenue

Expenses

Operating
income



Net income
(Bottom line)



Depreciation



Amortization

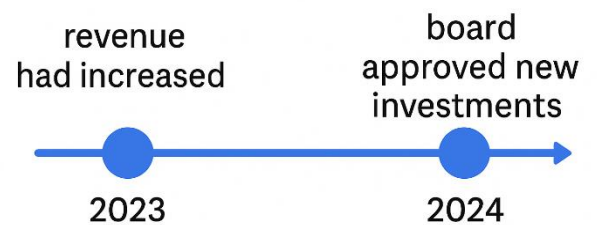


YoY
(Year-over-year)

LANGUAGE PRACTICE

Past perfect

Total revenue had increased in 2023, so the board approved new investments in 2024.





INCOME STATEMENT

EXERCISE 1

Complete each sentence with **ONE** of the words below. (*income statement, expenses, revenue, net income, operating income, depreciation, amortization, YoY*)

- A. The company's revenue increased because product sales were higher this quarter.
- B. The tech team recorded the equipment's _____ as it lost value over time.
- C. The finance department reviewed the _____ to understand the company's results.
- D. Marketing costs were part of the company's total _____ for the year.
- E. The CFO compared results _____ to see the change from last year to this year.
- F. After subtracting expenses from revenue, the company calculated its _____.
- G. Software licenses were listed under _____ because their value was spread across several years.
- H. The company's core operations generated strong _____ after taxes and interest.

EXERCISE 2

Complete each sentence with the **Past Perfect form (had + past participle)** of the verb in parentheses.

- A. The company had updated its revenue forecast before it finalized the YoY report. (update)
- B. The CEO said the team _____ the operating income numbers before presenting the income statement. (check)
- C. They noticed a mistake because the accountant _____ the expenses incorrectly. (categorize)
- D. By the time the report was published, the finance team _____ all depreciation values. (calculate)
- E. The auditor found that the company _____ amortization for one software asset. (forget)
- F. Looking back, by 2024 the company's revenue _____ a lot. (grow)

SUMMARY

Structure	Example	Meaning / Use
Affirmative: had + past participle	The company had finished the income statement before the meeting started.	One action happened before another action in the past.
Negative: had not (hadn't) + past participle	They hadn't calculated the expenses before the auditor arrived.	Something was not done before a later past moment.
Question: Had + subject + past participle?	Had the team reviewed the revenue projections before presenting them?	Ask if something happened earlier than another past event.
With time markers (before/after/by the time)	By the time investors joined the call, the CFO had explained the operating income.	Shows the earlier action clearly.

EXERCISES ANSWER KEYS

Exercise 1

- A. revenue
- B. depreciation
- C. income statement
- D. expenses
- E. YoY
- F. operating income
- G. amortization
- H. net income

Exercise 2

- A. had updated
- B. had checked
- C. had categorized
- D. had calculated
- E. had forgotten
- F. had grown